

UNAUDITED INTERIM FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 DECEMBER 2016



ORIENT FINANCE PLC

ORIENT FINANCE PLC
INCOME STATEMENT

<i>For the</i>	Quarter ended 31 December		Nine Months Ended 31 December		Change
	2016	2015	2016	2015	
	Rs.	Rs.	Rs.	Rs.	
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	
Income	861,672,193	708,992,488	2,419,078,725	1,591,707,115	52.0%
Interest Income	785,465,325	653,986,825	2,198,313,630	1,445,514,741	52.1%
Interest Expense	(505,503,722)	(311,103,542)	(1,327,356,464)	(751,532,538)	-76.6%
Net Interest Income	279,961,603	342,883,283	870,957,166	693,982,203	25.5%
Fee and Commission Income	34,047,595	26,941,054	97,554,621	59,700,343	63.4%
Other Income	42,159,273	28,064,609	123,210,474	86,492,031	42.5%
Operating Income	356,168,471	397,888,946	1,091,722,261	840,174,577	29.9%
Provision for Impairment	(82,431,983)	(97,642,494)	(241,816,073)	(224,569,337)	7.7%
Net Operating Income	273,736,488	300,246,452	849,906,188	615,605,240	38.1%
Operating Expenses					
Personnel Expenses	(111,049,199)	(95,412,975)	(330,700,960)	(229,633,525)	-44.0%
Depreciation and Amortization	(7,357,814)	(8,964,555)	(24,016,248)	(22,929,299)	-4.7%
Value Added Tax on Financial Services, NBT	(17,938,902)	-	(45,625,167)	-	-100.0%
Other Overhead Expenses	(80,232,520)	(82,861,594)	(238,541,431)	(182,154,339)	-31.0%
Profit Before Tax	57,158,053	113,007,328	211,022,382	180,888,077	16.7%
Income Tax / Deferred Tax (Expense)/ Reversal	(7,232,834)	(10,454)	(30,676,292)	281,997,279	-110.9%
Profit for the Period	49,925,219	112,996,874	180,346,090	462,885,356	-61%
Basic Earnings Per Share (Rs.)	0.36	1.48	1.28	6.05	
Diluted Earnings Per Share (Rs.)	0.36	1.48	1.28	6.05	

Figures in brackets indicate deductions where applicable.

ORIENT FINANCE PLC
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

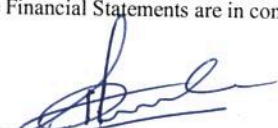
<i>For the</i>	Quarter ended 31 December		Nine Months Ended 31 December		
	2016	2015	2016	2015	Change
	Rs.	Rs.	Rs.	Rs.	
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)	
Profit for the Period	49,925,219	112,996,874	180,346,090	462,885,356	-61%
Other Comprehensive Income					
Available for Sale Financial Assets - Net Change in Fair Value	(875,119)	210,353	3,735,812	258,579	-1345%
Other Comprehensive Income for the year Net of Tax	(875,119)	210,353	3,735,812	258,579.00	-1345%
Total Comprehensive Income for the Period					
Net of Tax	49,050,100	113,207,227	184,081,902	463,143,935	-60%

Figures in brackets indicate deductions where applicable.

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

<i>As At</i>	31-Dec-16 Rs. Unaudited	31-Mar-16 Rs. Audited
ASSETS		
Cash and Cash Equivalent	156,030,493	231,677,698
Available for Sale Financial Assets	893,498,758	756,124,104
Loans and Receivables from Customers	16,112,331,894	13,839,304,166
Investment Securities	338,913,498	432,329,213
Trade and Other Receivable	243,406,593	247,641,495
Real Estate Stock	37,417,841	46,407,850
Deferred Tax Asset	288,841,787	319,518,080
Brand Value	235,880,000	235,880,000
Goodwill	564,545,745	564,545,746
Intangible Assets	293,620	517,658
Property, Plant and Equipment	425,713,605	438,736,121
Total Assets	19,296,873,834	17,112,682,131
LIABILITIES		
Bank Overdrafts	580,595,344	433,373,124
Deposits from Customers	9,008,129,214	9,249,312,393
Interest Bearing Borrowings	5,274,793,627	3,262,737,550
Term Debt	959,537,049	1,176,912,865
Current Tax Payable	2,136,341	2,136,340
Trade and Other Payable	999,659,402	704,484,745
Non Interest Bearing Security Deposits	1,508,519	1,891,105
Retirement Benefit Obligations	43,451,463	38,853,036
Total Liabilities	16,869,810,959	14,869,701,158
EQUITY		
Stated Capital	1,378,689,779	1,378,689,779
Reserve Fund	328,460,337	292,391,119
Available for sale Fair Value Reserve	3,358,268	(377,544)
Revaluation Reserve	116,471,908	116,471,908
Retained Earnings	600,082,583	455,805,711
Total Equity	2,427,062,875	2,242,980,973
Total Equity and Liabilities	19,296,873,834	17,112,682,131
Net Assets Per Share	16.40	15.15

The Financial Statements are in compliance with the requirements of the Companies Act No.07 of 2007


Asela Wijayabandara
Asst. General Manager - Finance


Mayura Fernando
Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;


Prakash Schaffter
Director


Minette Perera
Director

7-Feb-17

ORIENT FINANCE PLC

STATEMENT OF CHANGES IN EQUITY

For The 09 Months Period Ended 31 December 2016,

	Stated Capital Rs.	Reserve Fund Rs.	Revaluation Reserve Rs.	Available for Sale Fair Value Reserve Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 01 April 2015	306,024,990	171,016,612	116,471,908	(3,374,004)	(20,140,382)	569,999,124
Issue of Ordinary Shares	164,820	-	-	-	-	164,820
Profit for the Period	-	-	-	-	462,885,356	462,885,356
Other Comprehensive Income net of taxes				258,579	-	258,579
Transfer to Statutory Reserve		92,577,071			(92,577,071)	-
Balance as at 31 December 2015	306,189,810	263,593,683	116,471,908	(3,115,425)	350,167,903	1,033,307,879
Balance as at 01 April 2016	1,378,689,779	292,391,119	116,471,908	(377,544)	455,805,711	2,242,980,973
Profit for the Period	-	-	-	-	180,346,090	180,346,090
Other Comprehensive Income Net of Taxes	-	-	-	3,735,812	-	3,735,812
Transfer to Statutory Reserve	-	36,069,218	-	-	(36,069,218)	-
Balance as at 31 December 2016	1,378,689,779	328,460,337	116,471,908	3,358,268	600,082,583	2,427,062,875

Figures in brackets indicate deductions where applicable.

ORIENT FINANCE PLC
CASH FLOW STATEMENT

<i>For the Nine Months Period ended 31 December</i>	2016 Rs. (Unaudited)	2015 Rs. (Unaudited)
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit Before Income Tax Expense	211,022,382	180,888,077
Adjustment for;		
Depreciation / Amortization	24,016,248	22,929,299
Profit on disposal of Property Plant & Equipment	(13,632,643)	(25,497,412)
Impairment Charge/(Write Back)	241,816,073	224,569,337
Finance Expenses	1,327,356,464	751,532,538
Investment Income	(83,096,795)	(52,199,833)
Provision for Gratuity	7,490,328	4,396,715
Operating Profit before Working Capital Changes	1,714,972,057	1,106,618,721
Change in Loans and Receivables from Customers	(2,514,843,801)	(1,493,237,554)
Change in Trade & Other Receivables	13,261,350	(30,579,359)
Change in Related Party Receivable	-	265,825,725
Change in Deposits from Customers	(189,402,589)	(503,367,018)
Change in Trade & Other Payables	295,174,657	148,958,332
Change in Non Interest Bearing Security Margins	(382,586)	-
Change in Real Estate Receivable	8,990,009	916,586
	(672,230,903)	(504,864,567)
Interest Paid	(1,363,202,627)	(752,225,957)
Income Tax / Economic Service Charges Paid	-	(1,623,642)
Gratuity Paid	(2,583,171)	(21,071,906)
Net Cash Used in Operating Activities	(2,038,016,701)	(1,279,786,072)
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisition of Property, Plant and Equipment	(15,562,677)	46,859,215
Proceeds from Sale of Property Plant & Equipment	18,421,696	(10,328,034)
Net Change in Available for Sale Financial Assets	(133,638,842)	-
Net change in Investment Securities	93,415,715	33,057,829
Investment Income Received	83,096,795	52,199,833
Payments made to former Orient Shareholders	-	(1,730,741,430)
Net Cash Generated from Investing Activities	45,732,687	(1,608,952,587)
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest Bearing Borrowings Obtained	7,450,397,383	3,994,508,784
Interest Bearing Borrowings Repayments	(5,476,982,794)	(1,723,759,317)
Settlement of Debentures	(204,000,000)	-
Net Cash Generated from Financing Activities	1,769,414,589	2,270,749,467
Net Change in Cash and Cash Equivalents	(222,869,425)	(617,989,192)
Cash and Cash Equivalents at Beginning of the Period	(201,695,426)	107,415,559
Cash and Cash Equivalents at End of the Year (Note A)	(424,564,851)	(510,573,633)
Note - A		
Analysis of Cash and Cash Equivalents		
Cash in Hand	110,027,391	40,646,774
Cash at Bank	46,003,102	581,050,661
Bank Overdrafts - Secured	(580,595,344)	(1,132,271,068)
	(424,564,851)	(510,573,633)

Figures in brackets indicate deductions where applicable.

Explanatory Notes

1. These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from 01st January 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31st March 2016. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting. Previous year figures and phrases have been re-arranged wherever necessary to conform to the current presentation.
2. There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
3. All known expenses have been provided for in these Financial Statements.
4. There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2016.
5. Comparative figures in the Income Statement, Cash Flow Statement and Notes upto 30 June 2015 reflect only the former Bartleet Finance PLC performance since the merger of two entities took place only on 16 July 2015.

Listed Debenture Information

Debenture	31-Dec-16 Rs	31-Dec-15 Rs
Debentures Issued in 2011 (Deb. 01) *	-	204,000,000
Debentures Issued in 2014 (Deb. 02)	1,000,000,000	1,000,000,000
	<u>1,000,000,000</u>	<u>1,204,000,000</u>

* Debenture 01 has been redeemed on 15th June 2016 upon maturity.

Debenture 02

Market Prices - Debenture

Highest price	Not Traded as at 31 Dec 2016	Not Traded as at 31 Dec 2015
Lowest price		
Last traded price		

Debt to Equity Ratio (Times)	2.81	14.44
Interest Coverage Ratio (Times)	1.16	1.24%
Liquid Asset Ratio	6.87%	20.44%
Interest Rate of Comparable Government Securities	11.71%	7.33%
Interest Yield as at Date of Last Trade	N/T*	13.86%
Yield to maturity as of Last Trade	N/T*	21.92%

* N/T - Not Traded

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

Stated Capital	31-Dec-16	31-Dec-15
Value of Ordinary Shares (Rs.)	1,378,689,780	306,189,810
No. of Ordinary Shares	148,018,370	76,518,370

Share Price During the Period

		For the Quarter Ended	
		31-Dec-16	31-Dec-15
Highest	(Rs)	16.70	
Lowest	(Rs)	12.30	N/A
Closing	(Rs)	13.50	

Shareholders as at 31 Dec 2016

	Name	No. of Shares	%
1	Janashakthi PLC	132,940,720	89.81
2	B G Investments (Pvt) Ltd	4,657,594	3.15
3	Dunamis Capital PLC	2,393,862	1.62
4	First Capital PLC	1,568,818	1.06
5	Pan Asia Banking Corporation / S.R. Fernando	610,503	0.41
6	Rosewood (Pvt) Ltd	600,000	0.41
7	Code-Gen International (Pvt) Ltd	484,400	0.33
8	Asset Trust Management (Pvt) Ltd	333,300	0.23
9	Commercial Credit And Finance PLC	330,000	0.22
10	Mr. K.D.Y. Pathiraja	300,000	0.20
11	T.K.S.Finance Ltd / K. Jayakody	176,185	0.12
12	T.K.S.Finance Ltd / R.P.Vijedasa	174,788	0.12
13	Seylan Bank PLC/ L.C.R. Pathirana	145,001	0.10
14	Mr. Kosgallana Durage Ananda Weerasighe	133,400	0.09
15	T.K.S.Finance Ltd / T.A.H.R.G. Jayathilake	119,748	0.08
16	Mr. N. S.A Wickramasinghe	100,000	0.07
17	Mr.R.Arifeen	100,000	0.07
18	Mr. K.M.D.N.Kulasekara	100,000	0.07
19	Mr. Harindra Janaka Herath	75,000	0.05
20	Mr. K. D. A. Hettiarachchi	66,700	0.05
	Others	2,608,351	1.76
	Total	148,018,370	100.00

Directors' Shareholding as at 31 Dec 2016

	Name of the Director	No. of Shares	%
1.	Dr. D.C. Jayasuriya PC - Chairman	-	-
2.	Mr. Prakash Schaffter	10	-
3.	Mrs. Lakshmi K. Gunatilake	-	-
4.	Mr. Ananda W. Atukorala	-	-
5.	Mr. K. M. A. T. B. Tittawella	-	-
6.	Ms. Minette D. A. Perera	-	-
7.	Ms. I. Gunasekara	-	-
8.	Mr. Ramesh Schaffter (Alternate Director to Mr. P.Schaffter)	10	-
	Total	20	-

CEO's Shareholding as at 31 Dec 2016

Mr. Mayura Fernando	-	-
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Public Holding as at 31 Dec 2016

Number of Public Shareholders	15,077,610	10.19%
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ORIENT FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS
FIANANCIAL REPORTING BY SEGMENTS
Business Segments

The Company has two reportable segments, as described below, which are the Company's strategic divisions. The strategic divisions offer different products and services, and are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the Company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the Company's reportable segments.

Hire Purchase & Leasing - Provision of Hire Purchase and Leasing Facilities to customers
Factoring - Debt Factoring

	Lease & Hire purchase		Factoring		Unallocated		Total	
	31-Dec-16	31-Dec-15	31-Dec-16	31-Dec-15	31-Dec-16	31-Dec-15	31-Dec-16	31-Dec-15
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest Income	2,029,342,007	1,377,390,598	166,616,437	67,357,156	2,355,186	766,987	2,198,313,630	1,445,514,741
Fee and Commission Income	62,627,809	41,875,459.00	34,926,812	17,824,884	-	-	97,554,621	59,700,343
Other Income	19,002,089	5,875,512	-	-	104,208,385	80,616,519	123,210,474	86,492,031
Total Segmental Income	2,110,971,905	1,425,141,569	201,543,249	85,182,040	106,563,571	81,383,506	2,419,078,725	1,591,707,115
Less: Interest expense	(1,219,528,050)	(661,348,633)	(104,791,317)	(75,153,254)	(3,037,097)	(15,030,651)	(1,327,356,464)	(751,532,538)
Segmental Results	891,443,855	763,792,936	96,751,932	10,028,786	103,526,474	66,352,855	1,091,722,261	840,174,577
Depreciation and Amortization	(16,811,374)	(17,196,974)	(720,487)	(1,834,344)	(6,484,387)	(3,897,981)	(24,016,248)	(22,929,299)
Impairment Charge / (Reversal)	(229,487,758)	(216,334,164)	(11,472,661)	(8,085,926)	(855,654)	(149,247)	(241,816,073)	(224,569,337)
Unallocated Company expenses	(306,390,591)	(274,928,222)	(24,158,482)	(18,078,845)	(284,318,485)	(118,780,797)	(614,867,558)	(411,787,864)
Income Tax	-	-	-	-	(30,676,292)	281,997,279	(30,676,292)	281,997,279
Profit After Tax	338,754,132	255,333,576	60,400,302	(17,970,329)	(218,808,344)	225,522,109	180,346,090	462,885,356
Segmental Assets	14,803,439,185	12,426,195,749	1,272,026,400	1,052,735,470	3,221,408,249	3,690,280,365	19,296,873,834	17,169,211,584
Segmental Liabilities	812,114,444	703,367,602	-	-	16,057,696,515	15,432,536,103	16,869,810,959	16,135,903,705